

Hon Hai Precision

2Q26 revenue better than guidance as anticipated;
3Q26 to see continued strong growth

June sales dragged by fading consumer electronics pull-in demand; tight component supply keeps AI revenue growth flattish: Hon Hai reported June sales of NT\$822bn (down 4% MoM but up 52% YoY). The MoM decline was mainly driven by a slowdown in PC and smartphone pull-in demand amid a product transition period. On the other hand, Cloud and Networking delivered flattish growth MoM, constrained by tight component supply for AI rack assembly (e.g., PCB, passive components, etc., in our view).

- 2Q beat market consensus; 3Q still expected to grow QoQ on continued AI server and iPhone momentum:** Overall, 2Q26 revenue (up 18% QoQ and 40% YoY) exceeded BBG consensus expectations for ~12% QoQ growth, though it aligns with our prior view of landing at mid- to high-teens QoQ (see our earlier [note](#)), after the company had flagged potential upside in early June. The beat was driven by stronger-than-expected AI server rack shipments, stronger iPhone 17 demand, and continued momentum in MacBook Neo and Air models. We also believe 2Q rack-level shipments likely met management's guidance of high double-digit QoQ growth. Looking ahead to 3Q26, Hon Hai guides for growth on both a QoQ and YoY basis, with AI servers remaining the key driver and iPhone momentum continuing. That said, we expect the PC market to soften in 2H26 after 1H pull-in activity driven by concerns over further memory price hikes.
- 2026 AI revenue upside should come from better GB300 pricing and any pull-in for Vera Rubin ramp:** We expect Hon Hai's AI server revenue to grow 110% in 2026 (implying ~165% YoY growth in AI GPU racks), primarily coming from GB300, and should benefit from recent price increases for GB300 racks (to account for memory and other component cost increases). Hon Hai has also already secured an additional Vera Rubin customer (we believe Google, on top of existing large customers Microsoft and Oracle); beyond this, further upside for Hon Hai's AI revenue could come from an earlier-than-expected Vera Rubin ramp schedule. We now expect Vera Rubin to begin shipping in 3Q and ramp to higher volumes in 4Q, with the industry potentially targeting up to ~10K rack shipments for VR200 NVL72 in 2026.
- Stock view:** Hon Hai shares are up ~5% YTD (underperforming the TWSE by ~56%), reflecting limited margin upside and a lack of a clear price increase narrative. We remain OW, supported by robust AI revenue growth driven by continued expansion across both AI GPU and ASIC programs. While GM pressure is likely to persist for Vera Rubin given the sharp 60-70% increase in rack-level ASPs, we expect OPM to remain at 3%+ over the next 2-3 years, supported by (1) a rising ASIC mix, (2) greater value capture via component insourcing, and (3) continued operating leverage given much higher revenue turns.

Overweight

2317.TW, 2317 TT
Price (06 Jul 26): NT\$242.00
Price Target (Jun-27): NT\$310.00

Technology and Telecoms

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Investment Thesis, Valuation and Risks

Hon Hai Precision (*Overweight; Price Target: NT\$310.00*)

Investment Thesis

We remain OW on Hon Hai, given its robust AI server growth, driven by an increase in both shipments and ASPs. We believe Hon Hai is likely to ship 2x AI racks in FY26 vs. FY25, while ASPs will be further strengthened by incremental Vera Rubin contribution, increased ASIC server contribution (primarily TPUs) and opportunities for increased vertical integration (primarily Liquid cooling). For Vera Rubin, we expect the company to gain close to 50% share in 2027 (keeping ORCL and MSFT, with GOOGL as a new customer). Despite GM pressure persisting for Vera Rubin due to a sharp 60-70% increase in rack-level ASPs, we expect the company's OPMs to stay well above its target of 3+% level.

Valuation

Our Jun-27 PT of NT\$310 is based on ~14x 12m forward EPS. This multiple is higher than the five-year average multiple due to stronger AI exposure and better iPhone momentum.

Risks to Rating and Price Target

Key downside risks include a less-than-expected share in AI servers in the Blackwell or Rubin generation and weaker-than-expected iPhone demand.

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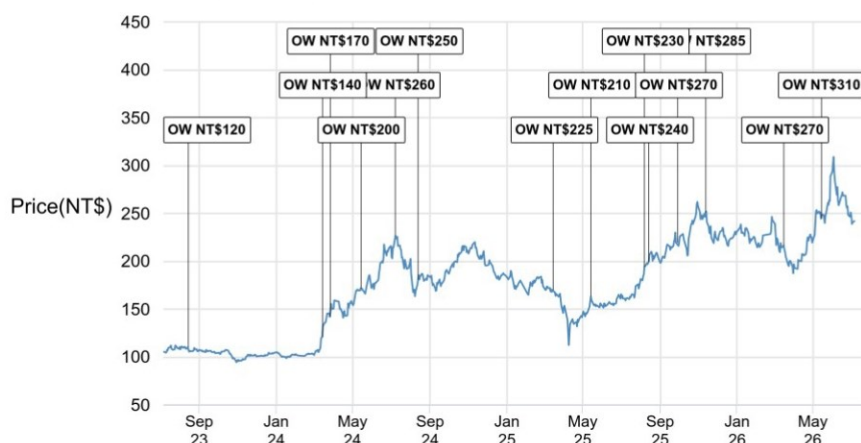
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Hon Hai Precision (2317.TW, 2317 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
15-Aug-23	OW	110.00	120
15-Mar-24	OW	121.00	140
27-Mar-24	OW	142.00	170
15-May-24	OW	172.00	200
09-Jul-24	OW	226.50	260
14-Aug-24	OW	181.00	250
16-Mar-25	OW	170.00	225
15-May-25	OW	163.00	210
08-Aug-25	OW	194.50	230
15-Aug-25	OW	199.50	240
30-Sep-25	OW	219.50	270
13-Nov-25	OW	251.00	285
17-Mar-26	OW	216.50	270
15-May-26	OW	244.50	310

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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